



THE NEW EPFO



► The EPFO has rolled out several measures in the last one year to digitise processes and reduce paperwork



► For subscribers and employers, this has meant streamlining of compliances and easier transactions



► But KYC verification and Aadhaar-UAN matching are essential, leaving legacy members at a disadvantage



► The EPFO has completed the first set of reforms under CITES 2.01 to make systems more efficient



► It plans to start working on EPFO 3.0 reforms later this year to make operations as smooth as that of a bank

the Life Insurance Corporation of India, has embarked upon serious reforms to overhaul its decades-old IT infrastructure and reduce the number of compliances and approvals. The aim is faster service for subscribers, ease of doing business for companies and reduction in the workload of its officials.

BETTER LATE THAN NEVER

Set up in March 1952, the 73-year-old EPFO has seen a surge in its subscriber base, corpus and activities over the years. From just 1,267 factories and 542,904 workers on March 31, 1954, the retirement fund manager now has 796,093 contributing establishments, 77.6 million active members and over 8.1 million pensioners. Its corpus was ₹24.75 lakh crore on March 31, 2024.

The Employees' Provident Fund Scheme, launched to provide social security to formal sector workers, many of whom do not get pension, covers establishments with 20 or more workers. Both employers and employees contribute 12% of the basic salary to the scheme. Of the employer's contribution, 8.33%, up

to ₹1,250, goes into the Employees' Pension Scheme, 1995, and the rest into the EPF. The employee's entire contribution goes to the EPF.

However, the EPFO's infrastructure and processes have not kept pace with its scale. Social media is rife with complaints over simple transactions and almost everyone knows someone who has had trouble in withdrawing the EPF money. Take the case of Bengaluru-based IT professional Asha Venkatesh (name changed on request), who has been trying to withdraw her PF balance since 2018. After switching jobs, she was shown that her PF accounts have been merged, but now she is unable to withdraw her funds. Despite speaking to her company's human resources (HR) department and even using the services of a private agent, she is yet to get her dues.

Industry experts say that anticipating a delay in processing, subscribers often lodge a grievance as soon as they file a claim. In the past, even EPF officers have highlighted the poor condition of the organisation's computers, servers and software applications that were on the verge of collapsing and affecting